INFORE MEMO

Cambodia–Thailand Border Tensions, Broken Supply Chains: Insights and Foresights†

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Summary: *The border tensions between Cambodia and Thailand have disrupted vital supply chains, which is a significant factor contributing to the slowdown of GDP growth in both nations. The impact, however, differs in nature and timeline. Thailand faces severe short-term consequences, including factory shutdowns due to a lack of raw materials and labor shortages while goods can not be exported to Cambodia. Conversely, Cambodia confronts more profound long-term risks: its automotive industry, heavily reliant on Thai components, could stop operations, while the nation must also manage an influx of returned migrant workers and found a costly structural shift to boost local investment. The optimal solution for both countries is to reopen the border as swiftly as possible, with diplomatic discussions prioritizing their shared economic partnership.*

So what and why should we care about the supply chain?

The border conflict is not just an issue of citizen's peace and security but also a critical supply chain issue, where both nations have deeply connected production stages in terms of sharing an entire network of people, organizations, activities, information, and resources (e.g., labor, capital, land, technology, or entrepreneurship). This network is involved in moving a product or service from the supplier to the final customer, a partnership that began not just before the current conflict, but centuries ago. They have worked together at different stages of production, importing and exporting raw materials to supply each other's industrial process, which allow them to produce goods for local demand and for export to international markets. And they have shared profits from those partnerships.

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The ongoing border closure has disrupted the supply chain and continues to impact businesses associated with the production processes supplied by both nations. This disruption, however, affects each country differently. In this INFORE Memo, we will discuss the historical context of the Cambodia-Thailand supply chain and its significance in the era of (re)globalization. We will also provide a foresight analysis to project likely scenarios, both positive and negative, should the border closure persist or should it reopen following a normalization of relations between the two nations.

Insights: Historical Review and Current Context

The trade partnership between Cambodia and Thailand originated centuries ago, dating back to the 9th century. At that time, trade was not conducted between two separate nations as we think of them today, but between the imperial core at Angkor and its western territories and vassals, whose Thai region acted as an important trade partner and corridor, funneling goods from other regions, such as China, towards the capital at Angkor. Using river routes, overland paths, and maritime networks, the Khmer and Thai exchanged goods, such as rice, textiles, spices, gold, jewelry, forest products, and crafts. This exchange facilitated cultural and economic interactions between the two peoples while they used these traded goods as inputs to produce other, more complex goods, establishing an early form of integrated production.

Later, from the 14th to the 18th century, the Siamese Kingdom of Ayutthaya rose to become a new regional powerhouse. Trade between the two nations persisted through formal diplomatic missions, despite a relationship characterized by conflicts and mistrust. Cambodia primarily imported textiles, while Siam (Thailand) imported luxury goods and critical raw materials.

In the 19th century, when Cambodia was under French colonial rule, the supply chain between the two nations saw an expansion, which was characterized by a shift in the type and control of goods. This occurred through two main channels: formal trade that was subject to tariffs, customs duties, and regulations; and informal trade along the border areas.

During World War II, the supply chain between Thailand and Cambodia was transformed into a state-controlled system of extraction, engineered by Japan following the 1941 Treaty of Tokyo which forced Vichy France to return western Cambodian provinces to Thailand. It allows Thailand to administer and integrate the region’s resources into its own economy, for example, rice, rubber and timber.
Following Cambodian independence in 1953, the relationship between the two countries was volatile.

The Preah Vihear temple dispute in the 1960s, in particular, hampered official trade; however, informal supply chains for everyday goods continued. And this fragile system collapsed again during the Cambodian Civil War and the rule of the Khmer Rouge (1975-1979), when the border was closed and militarized.

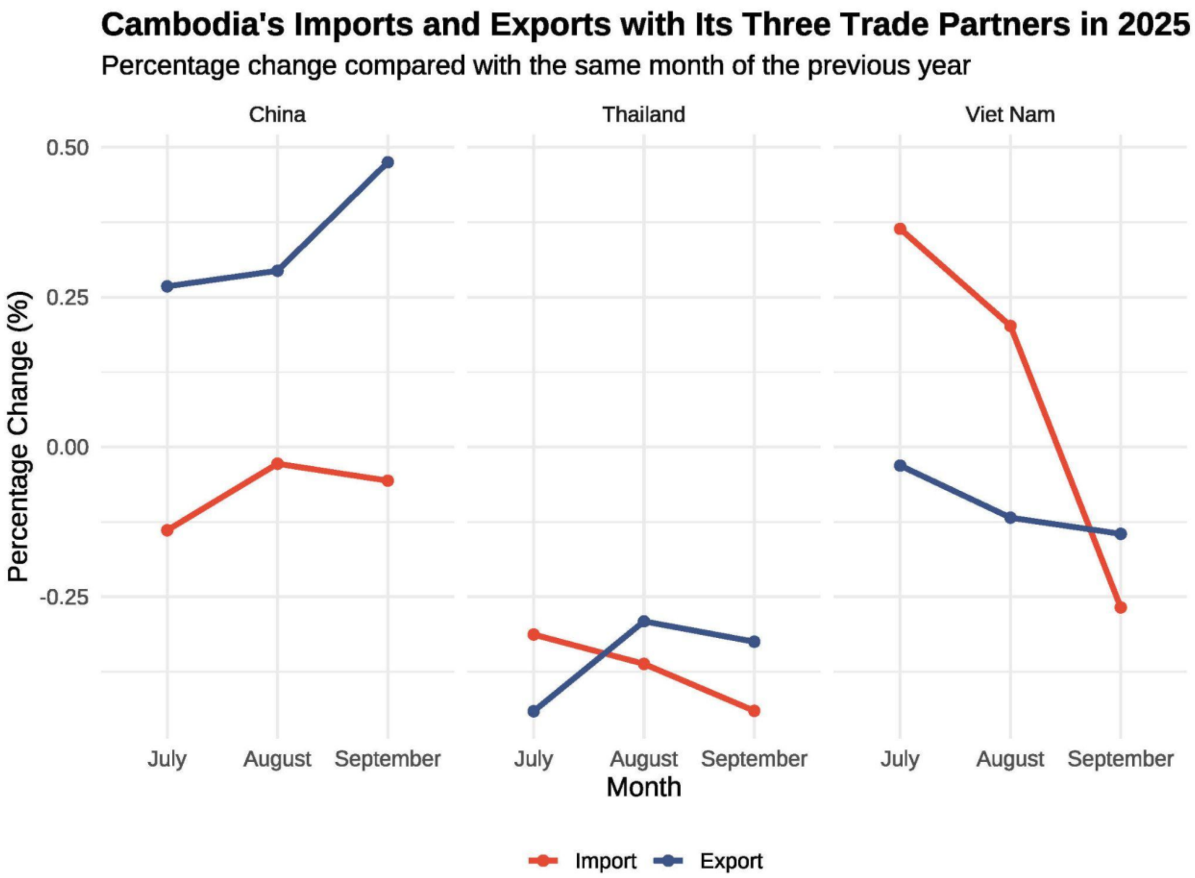
During the late 1970s the Cambodian-Thai border became a transit for illicit trade, primarily luxury wood and gems, which the Khmer Rouge initiated in order to fund their military campaign against the Cambodia government. Later, it became a critical lifeline for humanitarian supply chains, in which the United Nations and Thailand played important roles in providing aid to Cambodian refugees and resistance factions operating along the border.

Since the 1991 Paris Peace Accords and Cambodia's transition to a free-market economy, the supply chain with Thailand has exploded and modernized, despite diplomatic disputes in 2003 and border conflict between 2008 and 2011.

By 2024, Cambodia imported about $3.44 billion worth of goods from Thailand, equal to 7.41% of its GDP. In the same period, Cambodia exported $0.84 billion to Thailand, accounting for just 0.15% of Thailand's GDP. Thailand supplies Cambodia with essential consumer goods, processed food, machinery, fuel, and intermediate inputs for its garments and light manufacturing sectors. In return, Cambodia provides Thailand with critical agricultural commodities such as cassava, maize, rice, rubber, and fruits, which are vital for Thailand's food processing industries and domestic markets.

Since the border was closed three months ago, both countries have suffered economic losses. According to the General Department of Customs and Excise of Cambodia, trade between the two nations declined sharply from July to September 2025. Cambodia's exports to Thailand decreased by 31.3% in July and by 44% in September 2025, compared to the same months of the previous year. Similarly, Thailand's exports to Cambodia fell by 44.1% in July and 32.5% in September, year-on-year (Figure 1).

Figure 1. Cambodia's imports and exports with its three trade partners.



Note: *The author plotted this graph using import and export data from the General Department of Customs and Excise of Cambodia.*

On a broader macroeconomic level, the Asia Development Bank recently revised its 2025 GDP growth forecast for Cambodia down to 4.9%, lower than its earlier prediction of 6.1%. For Thailand, growth is now forecast at only 2%, down from an April estimate of 2.8%. The border conflict is cited as a key factor contributing to this economic slowdown in both nations.

Although raw materials continue to flow during this border shutdown, the tension directly impacts these trade flows, halting shipments and creating immediate shortages on both sides. Perishable goods, in particular, are highly vulnerable; raw materials for factories, fruits, vegetables, and seafood can spoil within days if trucks are delayed at checkpoints or if challenges with customs duties or regulations when it flows through alternative routes, such as those through Laos or Vietnam.

Investors in both countries with links to the supply chain face uncertainty when markets suddenly become inaccessible, which affects their inventory management and sales forecasts. The disruption in the supply chain leads to significantly increased delivery times and transportation costs, in addition to higher storage and warehousing requirements as goods wait at checkpoints or in nearby facilities. Small businesses are particularly vulnerable, as they often lack the resources to absorb these additional costs. While large firms may be able to mitigate losses, they still face operational inefficiencies that erode their competitiveness. Delays in raw materials and increased logistics costs naturally result in production cycles delays and lead to higher production prices if businesses cannot find ways to reduce other costs. And then in the medium term, companies must make a decision: to suspend production and wait for a better time to continue, or to stop doing business altogether.

On the Cambodian side, companies that rely on raw materials from Thai suppliers are in critical need of risk mitigation in their supply chain design. This is especially true for garment manufacturing, light assembly, and food processing, as well as for Japanese firms in the special economic zones along the border. These Japanese firms use Cambodia as a strategic territory for a regional production hub under the "Thailand Plus One" model. Typically, they have their headquarters in Thailand, export raw materials and resources from there, and then produce semi-finished or final products in Cambodia for exports.

Yazaki Corporation, a Japanese firm, provides an instructive example of how the Cambodia-Thailand supply chain works. Yazaki utilizes a model whereby Thailand serves as the *mother factory* and Cambodia acts as *a satellite factory* that supports the production process. Yazaki's factories in Thailand (e.g., in Royong, Chonburi, and other industrial estates) do not just assemble wire harnesses; they manufacture the critical raw industrial materials and components for them, such as electrical wires, terminals, connectors, and plastic components. These are then used for the full wire harness assembly for many car makers located within Thailand, such as Toyota, Honda, and Mitsubishi. The Thai operation often acts as the regional headquarters, managing engineering, procurement, quality assurance, and logistics for the satellite factories in Cambodia and other neighboring countries.

Cambodia's role is specialized and focused on a specific, crucial part of the production process. In wire harness assembly, which is labor intensive, Cambodian factories are involved in cutting, stripping, crimping, assembling and taping the wires. Finally, they produced and exported them to Thailand, the primary destination for installation in vehicles. Additional wire harnesses can also be exported to Japan, North America, and Europe.

Table 1: Selected Companies with Thailand-Cambodia Supply Chain Operations

Sector	Firm Name
Automotive and Electronics	• Yazaki Corporation: A prime example of the "Thailand as mother factory, Cambodia as satellite factory" model. Manufactures components in Thailand for wire harness assembly in Cambodia. • MinebeaMitsumi: A major electronics manufacturer producing components (e.g., motors, sensors) in Thailand and Cambodia, with integrated supply chains between its plants. • Denso Corporation: A global automotive components manufacturer with factories in both countries, supplying regional carmakers. • Toyota Tsusho (Trading Arm of Toyota Group): Heavily involved in supply chain logistics and sourcing for the automotive and other sectors between Thailand and Cambodia.
Garments, Manufacturing and Industrials	• Siam Cement Group (SCG): A major Thai conglomerate that exports construction materials and chemicals to Cambodia. Also has direct investments and joint ventures there. • Toray Industries, Inc: A Japanese chemical giant that produces synthetic fibers and textiles. It is based in Thailand and supplies the large garment industry in Cambodia.
Logistics and Supply Chain Providers	• JWD InfoLogistics: A leading Thai logistics firm with a strong presence in Cambodia, specializing in cross-border land transport and warehousing. • Yusen Logistics: A major Japanese logistics company that manages integrated cross-border supply chain solutions between Thailand and Cambodia. • APL Logistics: A global leader providing container freight station and cross-border land transport services linking Thailand and Cambodia. • Cambodian Thai Logistics and Trading Co., Ltd: As the name implies, this company specializes in the trade and logistics corridor between the two countries.
Conglomerates and Diversified	• CP Group (Charoen Pokphand Group): The Thai conglomerate has deep, integrated supply chains in agro-industry and retail, with feed mills, farms, and food processing linking operations in both countries.
Energy	• PTT Public Company Limited: Thailand's national oil and gas company. It supplies fuel and has retail stations in Cambodia, representing a critical energy supply chain.

On the Thai side, agro-processing firms that rely on Cambodia's agricultural products as primary goods experienced raw material shortages. Seeking alternative suppliers from local producers or other countries would drive up prices. The quality of these alternative inputs could vary, making it difficult to produce the same quality or quantity of goods as before. This situation may force companies to change and further develop a new bill of materials.

For example, cassava is a primary farming product that Cambodia sells to Thai traders, who purchase about 35% to 40% of the total cultivation each year out of an average 10 million tons. In 2023 alone, Thailand imported $221 million of cassava. They then process it into value-added products like cassava starch, modified starch, cassava pellets, or ethanol, which they sell to the world. The estimated value-added margin is between 50% to 100% for basic processing and 150% and 300% for advanced processing. This process possibly creates a final product value between $331 million and $442 million, or even $552 million to over $880 million. This represents a huge revenue opportunity that would be lost or reduced if the border tension persists.

In the same way, Thai firms create profit from gold manufacturing by importing raw gold from Cambodia. In 2023, for instance, they imported $616 million worth of gold. They later transform this gold by refining it to a higher purity and manufacturing it into jewelry. Re-exporting and selling these finished products adds significant value, with margins typically between 10% and 50%. This value addition generates an extra $95 million to $215 million in revenue. This is how business works: it is a supply chain for production, and production for profits.

Foresight: Business-as-usual, Bad and Best Case Scenarios

To anticipate future developments, we will analyze short-term (from now to 6 months), medium-term (6 months to 2 years), and long-term (3-5 years) scenarios based on business-as-usual, worst-case, and best-case projections. This approach integrates data, theory, and innovative strategies to build resilience and adaptability.

Business-as-usual scenario

In the short-term, border closures occur sporadically, causing minor delays in trade and losses of perishable goods. Firms that rely on raw materials from either country seek alternative routes (overland via Laos or Vietnam) or air freight while maintaining buffer stocks. These measures raise logistics and storage costs up to 30%. Some businesses may also resort to informal channels for import and export. At the same time, businesses in border towns experience loss of income and economic instability, which will create social challenges and unemployment.

In the medium-term, Thailand would stand to lose more than Cambodia, forfeiting millions of dollars in trade and value-added production from its exports and imports from Cambodia. This economic loss does not yet include the impact of approximately 910,000 Cambodian workers returning home. The financial losses would compound daily border tensions. Business operations would be disrupted – though not entirely stopped – forcing investors to fill the labor shortage with workers from Bangladesh and Myanmar. This solution, however, would create its own set of challenges, including lower labor productivity, cultural and language barriers, and a difficult adjustment period for new workers entering Thailand.

In Cambodia, businesses will try to find new suppliers from other countries or local producers to support their production process, if these alternatives can maintain a cost comparable to imports from Thailand. For firms that operate in both nations, the challenge will be supplying raw materials on time while facing significantly increased logistics costs. This uncertainty may lead some investors to consider suspending their operation in Cambodia.

It is clear that Japanese and other foreign investors are increasingly adopting a "Thailand-Plus-One" manufacturing model. Uncertainty along the border could drive shifts in investment toward more stable corridors. As Uematsu Hiroshi, the chief executive officer of the Phnom Penh Special Economic Zone in 2020, said in Khmer Times, "[...] we think that Cambodia is too small to attract heavy industry. Japanese heavy industry already goes to brighter countries with large natural resources." He continued, "so that the new Poipet PP Special Economic Zone did not aim to target heavy industry like steel and petrochemicals. Instead, it targeted investors with already established, longstanding operations in Thailand for many decades, particularly Japanese and Thai manufacturers," he said. For these firms, they may suspend operations in Cambodia at any time while maintaining their presence in Thailand, seeking alternative countries like Vietnam or other developing Southeast Asian economies.

In the long-term, the border may be partially or fully reopened, depending on peace negotiations. But the economic structure and collaboration between the two countries will be permanently altered from the pre-tension era, with bilateral trade potentially decreasing by a significant percent. Cambodia will face structural challenges in finding alternative foreign direct investment beyond Japanese firms to invest in its industrial and automotive sectors, which are identified as crucial for promoting skill upgrading and high-tech manufacturing.

Worst-case scenario

In the short- or medium-term, another clash is likely if leaders repeat the history, especially the Preah Vihear case from 2008 to 2011, which created a bad environment for investors. A second or third clash would be even worse. Economic losses are huge. The leaders of both countries are very aware of this. They presumably want to avoid repeating a history that consumed vast energy and resources on monitoring and observing the border issue, rather than focusing on economic development. This scenario is unlikely to be what either government wants, so they will do anything to avoid it. However, the risk of another clash may be influenced by other powerful players, like the Thai military and the eastern army battalions, as well as extreme nationalists online in both nations in positions of power and influence. Their local presence and military objective can shape policies, possibly favoring assertiveness or defensive measures.

In the medium term, the border remains closed, but both nations find alternative ways to build resilience. In Cambodia, the focus would be on creating a better business environment by strengthening local firms that supply raw materials to large corporations. Simultaneously, the country would need to find new international trade partners that can supply goods which are as timely, affordable, and high-quality as those previously sourced from Thailand. The endeavor requires significant public investment and effort over a short period. However, this may not be feasible for Cambodia due to constraints in its national budget. To proceed, the government would likely need to restructure its fiscal allocations across ministries.

Thailand, on the other hand, could seek new markets in other developing countries through proactive negotiations. To maintain profit margins comparable to those from trade with Cambodia, Thailand would need to reduce production costs, as exporting to more distant markets incurs higher logistics costs. Furthermore, to address labor shortages in its industries, the government might consider easing certain regulations to facilitate the entry of immigrant workers on a short-term basis.

Building resilience during a border closure requires immense effort, costing significant money, time, and commitment to achieve a durable outcome.

Best-case scenario

In the short term, border tensions are swiftly resolved through diplomacy, potentially through the Thai-Cambodia peace agreement and the ASEAN mechanisms. The leaders of both nations would begin to rebuild trust and collaboration, and then return to normalcy step by step. This would lead to a demilitarized border and the reopening of key international checkpoints. Supply chains and trade would resume efficiently, with the backlog of delayed agricultural, industrial, and consumer goods being cleared once the border gates are fully reopened. Goods and people would flow freely, and border issues would be discussed at the negotiating table without the threat of armed conflict, with troops withdrawn from disputed areas.

The most optimistic, yet still realistics, medium scenario is one of stable coexistence and deepening economic pragmatism. In this path, the fundamental territorial dispute remains legally unresolved, but all international borders reopen completely and businesses return to normalcy, with both nations successfully institutionalising mechanisms to prevent flare-up and aggressively decouple economics from politics.

The best-case long-term scenario transcends mere management and evolves into a fully integrated symbiotic partnership, where the border becomes a seamless zone of shared prosperity. This would be driven by a confluence of factors, for example, a generational shift in leadership devoid of nationalist baggage, a powerful and functional ASEAN community that make borders less relevant, and the success of economic cooperations. Cambodia and Thailand can have a “win-win” outcome regarding supply chains that allow raw materials to flow freely. In addition, the creation of joint Special Economic Zones along the border would blossom into innovation hubs, and the two economies would become deeply interwoven supply chains.

In summary, open borders present a simpler solution. What is needed is a genuine commitment to prioritize economic stability and the well-being of the people over disputes about sovereignty or historical grievances. There are numerous ways to resolve sovereignty issues without disrupting supply chains. This requires peaceful leaders and economic thinkers who can speak out to counter the influence of ultranationalist groups.